First, industrialization flows from the capital employed and there is a certain fixed relationship between capital deployed and output generated. This relationship is captured in what is known as the ‘incremental capital output ratio’ (ICOR). The government assumed that the ICOR would remain constant for an industry and the capital investment made in the public sector would generate a defined amount of output or value added.

Second, the ownership of capital did not matter. It was assumed that it does not matter whether a steel mill is set up by the government or by a private entrepreneur. The amount of capital invested would produce the same amount of output, irrespective of ownership. In other words, business was the business of the government and the government was as efficient an industrialist as a private entrepreneur.

Third, all forms and kinds of entrepreneurship—large or small, company or cooperative or unincorporated entities—were equally effective for industrialization. A linked assumption was that large private entrepreneurship was socially bad as it led to concentration of wealth and increase in inequality.

Fourth, there is no difference between risk capital (equity) and debt capital (credit). It is the quantum of total capital that matters, not the type of capital. The government would fund industrial projects through surplus from its budgetary revenues and the debt would be raised on the budget and off budget (in the balance sheet of the enterprise established). Equity was merely a cheaper form of capital and not risk capital. No interest was paid on equity and, as profits were not the objective of investment, receiving return on equity investment as dividends was not the goal.

Fifth, the social and fringe benefits of industrialization, such as employment, backward area development and utilization of natural resources, are the most desirable objectives of industrialization. These benefits were thought to outweigh the commercial advantages of markets and location of industry. The economic rate of return and social benefit